

Type of Wealth Accumulator:	NORTHS <u>PAW</u>	SOUTHS <u>UAW</u>
Clothing	\$8,700	\$30,000
Motor Vehicles	\$12,000	\$72,200
Mortgage Payments	\$14,600	\$107,000
Club Dues/Fees/Expenses	\$8,000	\$47,900

THE HOME TEAM

Most high-income households consist of traditional married couples with children. Both the South and North households are traditional. We determined long ago that the habits of both husband and wife account for variations in accumulating wealth. Your spouse's orientation toward thrift, consumption, and investing is a significant factor in understanding your household's position on the wealth scale.

Who is the tightwad in your household? In the case of Dr. North's family, both he and his wife fit the profile. Both live well below their means. Both contribute to planning their well-thought-out annual budget. Neither objects to buying used motor vehicles. Both can tell you how much their family spends each year for a variety of products and services. Neither objected to sending their children to public elementary and high schools. Both place a high priority on being financially independent. Yet these goals never translated into shortchanging their three children. The parents funded their children's college educations as well as their graduate school and law school tuition and fees. They also provided them with funds to purchase homes and for related expenditures. The Norths paid for these expenditures out of investments that they set aside for their children. Conversely, the Souths are not investors. Almost all such allocations in the South household come from current earned income.

What if your household generates even a moderately high income and both you and your spouse are frugal? You have the foundation for becoming and maintaining PAW status. On the other hand, it is very difficult for a married couple to accumulate wealth if one is a spendthrift.